

BUILD YOUR SKILLS: THE BIG PURCHASES

Please answer the following questions. Answers can be found in the back of the book.

1. Explain three tactics salespeople may try when they are selling you a car.
2. Why should you not care about a low monthly payment that a salesperson has advertised?
3. Explain why buying a used car that is a couple of years old is almost always a better financial decision than buying a brand-new car. Use the word *depreciation* in your explanation.
4. What are three scenarios in which you should not be buying a home?
5. Explain why renting instead of buying a home is not just “throwing money away.”
6. Use Dave Ramsey’s mortgage calculator, www.daveramsey.com/mortgage-calculator, for this question. If you are going to buy a \$400,000 home with a 15-year mortgage, have a down payment of \$80,000, and get an interest rate of 3.5%, how much will your monthly mortgage payments be?